

been watching it for six months. I always had a small position in it because the other auto parts stocks had phenomenal moves. I thought that Goodyear should catch a bid at some point. When I saw something change, I knew the stock was ready.

What changed—volume?

The volume was incredible on an up day. I knew that one day, I would see a change, and that was it. I believe that sense, and I went long.

Any other examples?

[He scans his trade pad and then brings up a chart on one of the screens.] Here's another example: Dollar General. We bought it right around here. [He points to the chart at a spot after a sharp downtrend with the price having fallen to near the low end of a longer-term price base.]

What was the rationale for that trade?

Retail stocks were going up. We were looking for some value in retail. The stock had sold off seven points in a month and a half.

What is this big upside gap? [I refer to a price move on the chart that occurred a little over a week after the trade entry.]

There was a takeover.

Once the takeover was announced, did you get out?

Absolutely. It was a 15 percent move.

[Balodimas continues to bring up price charts.]

MU [Micron Technology]. We had been long all along, but we got much bigger on this day here where the stock was up a lot and broke out of a band. Although it had a big move up that day, it was still in the trading range it had been in for a few years. [The stock had broken out of the trading band of the past few months, but was still within a broader long-term trading range.] So, I wasn't chasing the stock. I felt comfortable with it.

I wouldn't feel comfortable with something like this. [He brings up the chart for FFIV, a cloud computing company.] I would never buy that stock. [The chart shows a long, nearly unbroken uptrend, followed by a huge downside gap not far from the high, and then a rebound about two-